**MARSH & MILL BAKEHOUSE**

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# Records Retention Policy

Marsh & Mill Bakehouse LLC. Adopted March 2, 2020. Revised January 5, 2026. Owner: Elena Marsh.

## 1. Purpose

This sets how long the bakery keeps its records, when they can go, and how they are destroyed. The goal is simple: keep what the IRS, the NC Department of Revenue, the county, our insurer and our lenders could ask for, and stop keeping paper nobody needs. The default for business records is **7 years**.

## 2. Scope

Covers every business record of Marsh & Mill Bakehouse LLC, paper or electronic, wherever it sits:

- The Marsh & Mill drive: Invoices, Deliveries, Receipts, Tax, Bank Statements, Permits & Insurance, Legal, Policies and Cake Orders folders.
- The Bakehouse Ops base (Inventory, Supplier Orders, Deliveries, Custom Cakes).
- Business email at marshandmill.com, Square sales reports and Hearth Payroll reports.
- Paper originals in the office file cabinet at the cafe.

It does not cover my personal and household records (Mountain Credit Union accounts, the house, Hazel's school costs). Those are kept separately and never filed with business records.

## 3. Retention schedule

| Record type | Keep for | Clock starts | Disposal method |
|---|---|---|---|
| **Supplier invoices and credit memos, every version** | 7 years | End of the tax year the invoice was paid | Delete file; shred paper |
| **Delivery slips (driver slips and my photos)** | 7 years | End of the tax year of the delivery | Delete photo; shred paper |
| **Receipts for business expenses** | 7 years | End of the tax year of the expense | Delete file; shred paper |
| **Bank and card statements, business checking and Visa** | 7 years | End of the statement year | Delete file; shred paper |
| **Tax returns, 1099s received, W-2 copies issued, estimated tax confirmations, CPA workpapers** | 7 years | Date the return is filed | Delete file; shred paper |
| **Payroll registers, timesheets, employee files** | 7 years | End of the payroll year, or separation date for an employee file | Delete file; shred paper |
| **Permits and inspection reports** | 7 years | Date the permit expires or is replaced | Delete file; shred paper |
| **Insurance policies and certificates** | 7 years | Date the policy period ends | Delete file; shred paper |
| **Leases, supplier agreements, other contracts** | 7 years | Date the agreement ends | Delete file; shred paper |
| **Legal matter files and attorney correspondence** | 7 years | Date the matter is closed in writing | Only with attorney sign-off |
| **Bakehouse Ops records (orders, deliveries, inventory counts)** | 7 years | Date of the order or delivery | Export to the drive, then delete record |
| **Custom cake order forms and order messages** | 7 years | Pickup date | Delete file; shred paper |
| **Business email** | 7 years | Date sent or received | Delete from the mailbox |

If a record fits two rows, the longer period wins. Shredding is cross-cut, done in the office or by a bonded shred service. Nothing with account numbers, staff SSNs or tax figures goes in the recycling.

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### 4. Corrected documents and copies

When a supplier reissues an invoice or a statement is corrected, I keep both versions side by side and name them so the order is clear. A corrected copy never replaces the original on the drive. Both versions follow the same 7-year clock.

### 5. Legal holds override this schedule

When our attorney sends a legal hold notice, everything the notice lists is preserved, no matter what the schedule above says:

- No deleting, moving, renaming or editing held records, on the drive, in Bakehouse Ops or in email. Reading and copying are fine.
- What is held is what the notice and its schedule list, not just what sits in a folder called HOLD. Held records filed elsewhere stay where they are.
- Records the notice does not cover stay on the normal schedule.
- If I am not sure whether something is covered, it stays untouched until I ask the attorney.
- A hold ends only when the attorney releases it in writing. The release is filed with the notice in the Legal folder, and the 7-year clock for those records restarts from the release date.

### 6. Who may approve disposal

Only the owner, Elena Marsh, approves destroying a business record. Staff do not throw out or delete invoices, slips, receipts, order forms or Bakehouse Ops records, even ones that look finished. If something looks like clutter, leave it on my desk. Our CPA can advise on tax records and our attorney must sign off on any legal file, but neither approves disposal for me. People with read-only access to a folder cannot delete from it.

### 7. Yearly purge and review

Once a year, on a January admin day (Monday or Tuesday, cafe closed), I list what has passed its period, check that list against any open hold notice, then destroy what is left and note the date and what went. This policy is reviewed at the same time, or sooner if the law, our CPA or our attorney tells me something changed.

**Next review:** January 2027.

Approved: Elena Marsh, Owner, Marsh & Mill Bakehouse LLC

Date: January 5, 2026